inadvertent and also specifically designed to exclude foreign competition. Trade in services thus can be restricted by external constraints as well as domestic constraints.

- External trade barriers are mainly in the form of quantity and price-based barriers, limits on foreign equity participation, recognition and licensing of provisions, immigration and labour market regulations and discriminatory treatment with respect to taxes, subsidies, and other policies.
- While domestic constraints may result from infrastructure inadequacies, poor quality and standards, lack of clear-cut responsibilities between centre and state governments and other policy-related disincentives.

Services that face high trade barriers have mostly experienced low growth rates, especially professional services and rail transport that are still restricted services. Not all services that have low external trade barriers and high growth rates have high share in exports. In particular, it is observed that health and education services have low external trade barriers and experience high growth rates but have low share in exports. This reflects high domestic constraints in these services. Further, there are services that are less than moderately liberalised or are restricted with high external trade barriers and low growth e.g., professional services like legal, accountancy and rail transport. These services also have low share in exports, which reflect both domestic as well as external constraints to their trade.Construction services are also found to have low growth and low share in exports though external trade barriers have been somewhat lowered for them.

Modes of Trade in Organised Services

The definition of services trade used in the General Agreement on Trade in Services (GATS) includes four modes of delivery.

- The *first mode* is cross-border supply, with neither the consumer moving nor the supplier establishing it abroad. The supplier mails, electronically transmits, or otherwise transports a service across a national border. For example, architectural services may be provided in the form of design drawings sent via mail to a consumer in a foreign country.
- The *second mode* of supply is consumption abroad, where consumers, such as a tourists or students, travel across national borders to avail themselves of a service.
- In the *third mode*, commercial presence, a service supplier establishes a foreign-based corporation, joint venture, partnership, or other establishment, to supply services to persons in the host country.
- Presence of natural persons is the *fourth mode* of delivery and involves an individual, functioning alone or in the employment of a service provider, temporarily travelling abroad to deliver a service.

Reflecting the diverse economic and technical characteristics of services, the relative importance of different modes of supply varies widely across services. The principal method by which foreign firms establish a commercial presence is through foreign direct investment (FDI). FDI involves a foreign firm or individual acquiring a controlling interest in a firm in a host country or establishing a new firm or subsidiary in the host country.

16.6.4 Low Employment Elasticity in Organised Service Sectors

India's services sector has witnessed tremendous growth since the reform period, nevertheless, this growth has not been accompanied by a corresponding growth in employment in this sector. The share of manufacturing sector in GDP has also remained stagnant since 1990s.The biggest employing sector in India is the Agriculture sector, employing 45 per cent of the population but contributing 15 per cent to the GDP, whereas Service sector is the biggest contributor to the GDP but employs about 30 per cent. This has led to a policy dilemma and doubts have been cast on the sustainability of service-led growth.

It is observed that growth in service sector has been lopsided and jobless. Some sub-sectors have witnessed a double-digit growth rate in the last decade, e.g., communication and business services, while some have experienced a fall in their growth rates, e.g., railways, real estate and dwellings. The sub-sectors that have witnessed negative growth rates and those that have experienced slow growth rates are also the ones that have large potential for generating employment, e.g., construction, transport and professional services. Rising labour productivity in the faster growing sub-sectors has further reduced the scope for increasing employment in these sub-sectors. For example, IT, ITeS, business and financial services are drivers of service sector growth however these sub-sectors are not employment intensive. The average labour productivity in this sector is 5-10 times that of the overall Indian economy, while its share in overall employment is only about 1.7 per cent. Thus, the knowledge-intensive services sector which along with some segments of capital-intensive manufacturing were the engines of growth in India. But these sectors by their nature are not employment-intensive. Thus, they have contributed to growth, but not necessarily to employment. It is also observed in number of empirical studies that stringent employment protection legislations (e.g. Industrial Dispute Resolution Act, Trade Union Act, and Work Compensation Act, etc.) have pushed employers towards more capital-intensive modes of production, than warranted by existing costs of labour relative to capital. For example, a World Bank Study reveals that Industrial Disputes Act has lowered employment in organised manufacturing by about 25 per cent.

Check Your Progress 4

1) Analyse the positive impact of demonetisation in driving the growth in IT/ Telecom services in India.

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2) Do you agree with the view that GST has retarded the growth of services in India? What improvements could be done in GST regime so that it becomes a stimulator for services growth in India?

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3) Do you think that domestic regulations and barriers are more constraining to trade in services rather than the external barriers? Elucidate your reply with suitable examples and justifications.

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4) How far the GATS have been successful in promoting the trade in services across the world? Give adequate justifications in support to your reply.

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16.7 SECTOR-SPECIFIC POLICY INITIATIVES AND ISSUES IN SELECTED ORGANISED SECTORS

16.7.1 IT-BPM / Software Sector

Government Initiatives in IT-BPM/Software Sector

The Government of India's rapid adoption of technologies as a platform to delivery of government-to-government and government-to-citizen services is a tremendous push factor for the domestic IT-BPM (Business Process Management) market. It has developed its own cloud platform – MeghRaj – that offers Platform-as-a Service (PaaS), Infrastructure as a Service (IaaS), Software as a Service (SaaS) and Storage as a Service (STaaS). The focus of this initiative is to accelerate delivery of e-services in the country while optimising Information Communication and Technology (ICT) spending of the Government. It also intends to make India a hub for cyber security solutions for the world. Some of the initiatives under Digital India programme include Universal Digital Identity (Aadhaar); Common Services Centres (CSCs); Digital Locker; eSign; UMANG(Unified Mobile App for New Age Governance); Jeevan Pramaan scheme for Digital Life Certificate for Pensioners; National Scholarship Portal; National Centre of Geo-informatics (NCoG) project, etc.

With these initiatives, India's IT industry has thrived globally with exports around \$70 billion. There are over 2.8 million employees working in the IT sector. India's IT industry is an emerging market for the economy which requires more IT services as we move further. The major reason behind the rapid development of the IT industry is the vast reservoir of technically skilled manpower which has transformed India into a IT superpower. However, India's Software exports which were growing robustly at 27 to 38 per cent during 2002- 03 to 2007-08 have slowed down in recent years with exports even falling. In FY 2019, growth will settle just about 7.5 per cent to 8 per cent while in FY 2020, IT services export growth is pegged at 6 per cent to 8 per cent.

The major issues and challenges in the IT-BPM sector are listed below:

- *Visa Issues* : This is a major issues for the IT sector. Immigration and visa issues, which have long plagued the information technology sector seem to have hurt Indian IT services companies with the US Government's stance on the H-1B visa issue.

- *Goods and Services Tax payable ('IGST/CGST/SGST') on import or domestic procurement of services by Software Technology Parks of India (STPIs):* GST laws treat any service provided to a SEZ unit as 'Zero Rated Supply'. Accordingly, a SEZ unit can import services or procure domestically those services required for authorised operations without payment of GST. However, STPI units, which are also into the activity of export of IT/ITES are required to pay GST both on import and domestic procurement of services required for authorised operations and subsequently claim refund of the same. Payment of GST on procurement of services by an STPI unit would increase the working capital requirement. While relief has been provided till March 2018, upfront exemption from payment of GST on import and domestic procurement of services by STPIs could be considered in the GST regime on par with SEZ units.

- Further on the Goods and Service Tax (GST) front, the industry has been adversely impacted and faced with ambiguity due to divergent advance rulings by tax authorities. Delay in granting refund of accumulated GST credits continues to pose a working capital challenge to the industry, despite government's initiatives such as special refund drives.

- *SEIS benefit to units covered under STP scheme and export of IT/ITES(IT enabled services):* Under the Service Exports from India scheme (SEIS) of FTP (2015-20), certain services including professional services have been notified as eligible services. Under these scheme exports of notified services by SEZ units are made eligible to claim the SEIS scrips. However, exports of similar notified services by units registered under STPI scheme are not eligible to claim the SEIS scrips.

Globally, India has continued to perform well in the computer software and ITES sphere since the post-reforms period. However, this achievement has been dwarfed by the neglect of high-end IT services. Too much dependence on a few external markets for IT exports could prove to be a risky business model, and there is a serious need to explore possibilities of broadbasing the market by looking at the African, Asian and Latin American markets. Also, the IT/ITES sector in the country faces a scarcity of professionals and venture capital. The increased threat to cyber security due to cloud computing, e-commerce, and digital payments is another concern which the industry has to deal with without delay.

16.7.2 Challenges and Prospects of Indian Tourism

Important initiatives taken by the Government to promote tourism in the country include the following:

For creation of tourism infrastructure, Central Financial Assistance to States/ UTs under the schemes of Swadesh Darshan, National Mission on Pilgrimage

Rejuvenation and Spiritual Heritage Augmentation Drive (PRASHAD). Besides, some initiatives taken by Ministry of Tourism include the following:

- Extension of e-visa facility to citizens of 167 countries.
- Launch of the Incredible India 2.0 campaign with market specific promotional plans and content creation.
- Revamping of Incredible India website with the aim to provide more information about India as a tourist destination.
- Launch of 24x7 toll free multi-lingual tourist helpline in 12 International languages including Hindi and English.
- Organisation of annual Global Tourism Mart for India in line with major international travel marts being held in countries across the world. It provides a platform for all stakeholders in tourism and hospitality industries to interact and transact business opportunities.
- Organisation of Annual International Tourism Mart for promotion of tourism in North Eastern States.
- Promotional activities in tourist generating markets overseas through the India Tourism Offices abroad with active participation in travel fairs and exhibitions; organising Road Shows, "Know India" seminars and workshops.
- Ministry launched a mobile application called Swatch Paryatan which will let citizens report any hygiene issues at various tourist destinations across the country.
- The Archaeological Survey of India (ASI) has identified 100 monuments to be developed as Model Monuments under Adarsh Smarak scheme.

The Government has initiated many policies to make India a Medical Value Travel destination which include constituting the National Medical and Wellness Tourism Promotion Board in 2015 and launching e-tourist visa and m-visa facilities. The board has taken many initiatives which inter alia include: a) Stressing on easing entry formalities for those arriving for Medical Visits. On the recommendations of the Board, Government has done away with the procedure for reporting of those coming on medical visas to Foreigner Regional Registration Offices (FRRO) and accepts hospital's reporting. b) Giving emphasis on accreditation of institutions and organisations dealing with Medical and Wellness Tourism at all levels. c) Encouraging the Medical and Wellness Tourism stakeholders to work in a transparent and fair manner by listing out indicative cost of procedures.

The 'Adopt a Heritage Scheme' invited Private Sector Companies, Public Sector Companies and Corporate individuals to adopt the sites and to take up the responsibility developing 8 monuments, heritage and tourist sites across India and making them tourist friendly to enhance their tourism potential and cultural importance, in a planned and phased manner.

As a result of these initiatives, Indian travel and tourism industry is prospering enormously with number of tourists increasing from 17000 in 1951 to over 10 million by 2017. It contributed 9.4 per cent to India's total GDP (Gross Domestic Product) in 2017 and provided 41.622 million jobs to the people. Yet, we are relatively far behind several other small countries like Singapore and Hong Kong.

Some of the challenges being faced by the tourism sector are listed below:

- Lack of proper infrastructure
- *GST related Issues:* Ministry of Finance in its Working Paper (Prasad and Sathish, 2017) highlighted the following GST related issues in tourism sector:
  - o *Need to treat foreign exchange earnings in tourism services as exports or deemed exports*: While goods and services exported from India are exempt from GST, for tourism services this is not the case as they are governed by a special provision of being served in India.
  - o *GST rates in India are very high:* With GST for hotels at around 18 per cent and tour operators at 28 per cent, India is among the highly taxed tourism countries.
- *Social and Political Concerns:* These relate to the developmental, cultural and environmental effects liberalisation of tourism can have on local communities and sensitive locales. New parameters at the macro, and micro levels have to be identified for developing tourism keeping in view the incidents of communalism, terrorism, natural disasters, climate change, global warming, deforestation, pollution etc.
- *Alternatives:* This includes health tourism, village tourism (in the vintage of global village!), sports and games tourism, etc. Kerala has done innovative thinking in "monsoon tourism" which reduces seasonality of tourism.

16.7.3 Shipping and Port Services: Initiatives and Challenges

As far as the Indian subcontinent is concerned, shipping plays an important role in the transport sector of India's economy. Approximately, 95 per cent of the country's trade by volume (70 per cent in terms of value) is moved by sea. The geographical factor that puts the Indian maritime sector at an advantageous position is its vast coastline of 7,500 km.

In order to improve India's ranking in terms of 'Trading across Borders', the Ministry of Shipping has initiated the following measures:

- **From manual to e-forms**
- **Implementation of Direct Port Delivery Scheme**
- **Reduction in fee and charges for non-peak hours**
- **Container scanners at major ports**
- **Delivery orders are automated**
- **RFID Scheme for gate automation:** All the major ports are in process of implementing radio-frequency identification (RFID) gate automation system.
- **Integration of major ports filing system with Customs software:** This process has cut down dwell time significantly.
- **Remove congestion at ports:** To remove bottlenecks in rail or road connectivity for faster evacuation of cargo, all major ports have been directed to take the measures such as development of parking areas, widening roads and inter-terminal movement trailers.

The important issues in this sector are listed below:

- *The costs of operating a shipping company in India are higher than overseas* and therefore foreign shipping companies do not prefer to flag their ships in India.

- *Onerous Tax Regime:* The shipping industry is facing significant tax burden such as minimum alternate tax, dividend distribution tax, withholding tax liability on interest paid to foreign lenders and on charter hire charges paid to foreign ship owners, and so on which is ultimately squeezing the bottom line/profit margin further.

- *GST related issues:*Ministry of Finance in its Working Paper (Prasad and Sathish, 2017) highlighted the following GST related issues in shipping sector

  - *GST applicability on sale of ships located abroad*: *GST* is applicable on the sale of a ship by an Indian shipping company which has a ship located abroad. Earlier, such a sale was outside the purview of the Indian VAT laws and hence was not liable to VAT.

  - *Need for parity in GST treatment for services of international transportation of goods by sea by Indian shipping companies vs. foreign shipping companies:*If a foreign charterer desires to engage a shipping line for transportation of cargo from abroad to India, he would prefer to engage a foreign shipping line over an Indian shipping line since the latter would charge 5 per cent GST on its freight invoice while the former would not charge any tax.

  - *GST input tax credit on any goods purchased in various States:* Goods such as furnace oil, lubes, spares, ship stores, etc. are purchased by shipping companies at various ports/States. Such purchase of goods would attract CGST and SGST of the respective State where goods are procured. Shipping companies may not have any place of business in the States where the purchases are made and hence may not be able to utilise the input tax credit in respect of goods procured at various States. This could result in significant blockage of input tax credit in various States and needs to be addressed.

- *The multiplicity of Regulations – costly affair:* The shipping industry is regulated by International Maritime Organisation (IMO). There are also international regulations on operations of ships and for seafarers. Even though such regulatory framework makes stricter entry barriers into the industry, it adds cost to the compliance of such regulations.

- The challenges facing in development of a world class port infrastructure include the following:

  - Issues with PPP Model- Most port PPPs impose strict limits on what private operators are allowed to do, usually in terms of the types of cargo they are allowed to handle.

  - Limited Hinterland Linkages

  - Sub-optimal Transport Modal Mix – Lack of requisite infrastructure for evacuation from major and non-major ports leads to sub-optimal transport modal mix.

- o Processes and operations across India's ports are not standardised or uniform, costs and time for key processes are unpredictable and there is an unacceptable level of variation across ports as well as within ports.
- o Financial constraints – continued underinvestment have left the port infrastructure in dismal condition especially with regards to the non-major ports.
- o Deficient dredging capacity – Draft is also a major limitation in India as terminals and ports are unable to cater to vessels beyond Panamax (Draft over 13 meters) size that are increasingly dominating global trade.
- o Land acquisition and environmental clearances are some specific challenges for port infrastructure.

16.7.4 Real Estate Sector in India: Policy Initiatives and Challenges

The real estate sector in India is growing at a rate of about 20 per cent per annum and this sector has been contributing to about 6-7 per cent to India's GDP but it is not able to balance the supply-demand continuum.

Some of the policy initiatives that have had a lasting impact on the Indian real estate industry include Pradhan Mantri Awas Yojana, Smart Cities Mission,Real Estate Regulation and Development Act (RERA) in 2016, Amendment to Benami Transactions (Prohibition) Act, Real Estate Investment Trust (REITs)– approved by the Securities and Exchange Board of India (SEBI) – is a platform to pool money from investors all across the country, Service Tax Exemption on Construction of Affordable Housing, Interest Subsidy for the first-time homebuyers, Permanent Residency Status for Foreign Investors for a period of 10 years, subject to fulfillment of certain conditions, Infrastructure Status to Affordable Housing; Foreign Direct Investment in Real Estate (except real estate farms) and Home loan moratorium for real estate due to the COVID-19-led lockdown and the nationwide restrictions aiming at helping borrowers and developers who are reeling under monetary pressure since long.

The demonetisation in November 2016 severely impacted the growth of the real estate sector and reduced the flow of investments. The implementation of the Real Estate Regulation Act (RERA) in 2016 and GST in 2017 has resulted in a variety of projects arriving at a standstill. Similarly, there are other such policy and regulation challenges that have plagued the real estate sector in India:

- ***Delayed Infrastructure Projects:***In addition to the complications faced to acquire funding for the project, a real estate developer has to navigate through numerous government regulations before commencing construction. Thus, the sector calls for a single-window clearance system to streamline and fasten the approval mechanism.

- ***Funding problems for land acquisition:*** Currently, funding is only available for construction purpose, but not for land acquisition. Land acquisition alone constitutes 60 per cent of the entire cost in a particular project. After funding for the acquisition of a land, developer needs to wait for 12 to 18 months, during which the developer does not get any money, but gets burdened with interest charges. These issues need to be examined and addressed.

- ***Land availability:*** Another challenge that has affected the growth of the real estate sector and the developers is litigated land. According to a survey conducted by the MahaRERA, around 16 per cent of projects and 31 per cent of built-up spaces are, or have been, in legal disputes.These challenges call for a serious revision of the Land Acquisition Resettlement and Rehabilitation Act, 2013 which grants compensation, rehabilitation, and resettlement to the affected persons in India.

- ***Outdated building byelaws:*** Over 50 per cent of the world's population lives in cities, and the number is expected to rise by 2.5 billion by the year 2050. However, the current Floor Space Index (FSI) norms in the cities are not on par with the growing demands of the consumers. Reports state that the permitted FSI in Indian cities is currently at an all-time industry low, within the range of 1 to 1.5. These challenges call for state governments to revisit the FSI norms.

- ***Rising non-performing assets (NPA), higher risk provisioning assigned to real estate sector by the RBI and dwindling profits in the real estate sector:*** These have affected bank lending to the sector. Among the major funding sources to real estate sector, bank lending to the real estate sector has significantly dropped from over 57 per cent in 2010, to less than 24 per cent in 2016, while private equity investments have increased. The real estate sector has also been grappling with liquidity issues and piling debt.

- ***Tax shifts and demand shifts:*** Prior to GST implementation, there was a service tax of 4.5 per cent that was payable in case of under-construction property. Post GST, that rate has gone up sharply to 12 per cent making it almost unattractive to buyers. Property buyers were already paying registration charges and stamp duty on properties. With the addition of 12 per cent GST, the total statutory cost has gone up by 20 per cent of the cost of property for the buyer. The bigger problem is a fundamental shift in demand patterns. During the days of the property boom, many real estate companies invested heavily in developing middle range and premium properties. When the cycle turned, most of these properties could not find buyers. Shortage of working capital has led to many builders defaulting on their delivery commitments to customers.

- **GST Issues:** While construction sector is the worst hit sector due to economic slowdown and demonetisation, all components of construction except bricks are charged at 28 per cent GST.

16.7.5 Policy Initiatives and Challenges being Faced by Banking and Financial Services

Initiatives to improve the conditions of Government Banks and Financial Services
Government of India has taken comprehensive steps to strengthen the Public Sector Banks (PSBs), under Government's 4R's strategy of– recognising NPAs transparently, resolving and recovering value from Stressed Accounts through clean and effective laws and processes, recapitalising banks, and reforming banks through the PSB Reforms Agenda.Other steps taken by the Government to improve the condition of banks include, *inter alia*, the following:

- Change in credit culture with institution of Insolvency and Bankruptcy Code (IBC) fundamentally changing the creditor-borrower relationship, taking away control of the defaulting company from promoters/owners and debarring wilful defaulters from the resolution process and debarring them from raising funds from the market.
- Fugitive Economic Offenders Act, 2018 has been enacted to enable confiscation of fugitive economic offenders' property.
- National Financial Reporting Authority has been established as an independent regulator for enforcing auditing standards and ensuring audit quality.
- Key reforms instituted in PSBs include, the following:
  - o To ensure proper due diligence in project financing, Board-approved Loan Policies of PSBs now mandate tying up necessary clearances/ approvals and linkages before disbursement, scrutiny of group balance-sheet and ring-fencing of cash flows, and appraised of non-fund and tail risk.
  - o For mitigating risk on account of misrepresentation and fraud, use of third-party data sources for comprehensive due diligence across data sources has been instituted.
  - o For clean and effective monitoring, monitoring roles have been strictly segregated from sanctioning roles in high-value loans, and specialised monitoring agencies combining financial and domain knowledge have been deployed for effective monitoring of loans above Rs. 250 crore.
  - o To ensure timely and better realisation in One-Time Settlements (OTSs), online end-to-end OTS platforms have been set up.
  - o For faster processing of loan proposals, Loan Management Systems have been put in place for personal segment and MSME loans.
- To strengthen governance at the Board level, the position of Chairman and Managing Director (CMD) has been bifurcated into separate positions of a Non-executive Chairman and a Managing Director (MD) and Chief Executive Officer (CEO).
- A professional Banks Board Bureau (BBB) has been created for arm's length selection of non-executive Chairmen and whole-time directors.

The banking industry is undergoing a radical shift, one driven by new competition from FinTechs, changing business models, mounting regulation and compliance pressures, and disruptive technologies. The emergence of FinTech/non-bank Start-ups is changing the competitive landscape in financial services, forcing traditional institutions to rethink the way they do business.

A Cultural Shift: In the digital world, there is no room for manual processes and systems. Therefore, it's important that financial institutions promote a culture of innovation for maximum efficiency.

Regulatory Compliance: Regulatory compliance has become one of the most significant banking industry challenges as a direct result of the dramatic increase